

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-01

CCMA, LLC
COMPLAINANT,

v.

MAERSK A/S and PORTS AMERICA CHESAPEAKE, LLC
RESPONDENTS.

**JOINT MOTION FOR APPROVAL OF SETTLEMENT AND CONFIDENTIAL
TREATMENT OF SETTLEMENT AGREEMENT**

CCMA, LLC (“Complainant”), and Maersk A/S (“Maersk”) and Ports America Chesapeake, LLC (“PAC”) (collectively “Respondents”) (jointly the “Parties”) submit this Joint Motion for Approval of Settlement. The Parties have mutually agreed to settle all of their disputes and issues that are the subject of this Proceeding. A copy of the Settlement Agreement executed by all the Parties to this Proceeding accompanies this Motion and is being filed on a confidential basis. For the reasons set forth below, the Parties submit that (1) the Settlement Agreement should be approved by the Commission, and (2) upon approval of the Settlement Agreement, Complainant’s claims against Respondents should be dismissed with prejudice.

I. Procedural History

On February 7, 2022, CCMA filed an Amended Complaint with the Commission alleging that Respondents had violated Section 41102(c) of the Shipping Act of 1984. The Respondents

have denied all such allegations. The Parties have been engaging in settlement discussions and have now reached agreement on a settlement embodied in the confidential Settlement Agreement filed in connection with this Motion for Approval.

II. The Settlement Should Be Approved

The Commission has a strong and consistent policy of “encourage[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid.” *See Aeneas Exporting LLC v. Carlo Shipping. Int’l, Inc.*, Docket No. 20-11 (August 24, 2020) (*Wirth, C.J.*) (quoting *Inlet Fish Producers, Inc. v. Sea-Land Service, Inc.*, 29 SRR 975, 978 (ALJ 2002)); *see also Delhi Petroleum Pty. Ltd. v. U.S. Atl. & Gulf/Australia - New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ Aug. 12, 1988) (“[I]f it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law, the Commission authorizes the settlement.”).

The Commission’s policies, its Rules of Practice, and the Administrative Procedures Act all encourage settlements. As the ALJ recognized in *Old Ben Coal Co. v. Sea-Land Services, Inc.*, 18 S.R.R. 1085, 1091 (ALJ 1978):

The desire to uphold compromises and settlements is based upon various advantages which they have over litigation. The resolution of controversies by means of compromise and settlement is generally faster and less expensive than litigation; it results in a saving of time for the Parties, the lawyers, and the courts, and it is thus advantageous to judicial administration, and, in turn to government as a whole. Moreover, the use of compromise and settlement is conducive to amicable and peaceful relations between the parties to a controversy.

The Commission reviews settlement agreements to ensure that they do not contravene any law or public policy, and are free of fraud, duress, undue influence, or mistake, or other defects which might make them unapprovable. Here, the Parties’ settlement reflects a fair and considered

judgment of the relative strengths of their respective positions, the desire to avoid continuing litigation costs and to avoid the risks inherent in litigation. The settlement is the product of arms-length negotiations between sophisticated parties, in which counsel for the Parties participated, and is free of fraud, duress, or undue influence. The Parties also submit that the settlement is free of mistake or other defects which might make it unapprovable.

Further, the settlement does not contravene law or public policy. It is not an unjust or discriminatory device, has no adverse effect on any third parties or the market for transportation services, and does not run afoul of any provision of the Shipping Act. Rather, it constitutes a prudent decision to settle costly litigation in which the ultimate outcome was uncertain. In sum, because the settlement is fair, reasonable and adequate, and is the product of prudent and considered judgment on the part of the Parties, it should be approved.

III. The Terms of the Settlement Agreement Should Remain Confidential

The Commission has generally afforded confidential treatment under 46 C.F.R. § 502.5 to settlement agreements, recognizing that they “often contain sensitive commercial information that should be protected from public disclosure.” *D.F. Young, Inc. v. NYK Line (North America) Inc.*, 1 F.M.C.2d 135, 136–37 (FMC May 22, 2018). The Settlement Agreement contains sensitive commercial information that should be protected from public disclosure. Accordingly, the Parties respectfully request confidential treatment of the Settlement Agreement, as is routinely granted by the Commission, pursuant to the Commission’s Rules of Practice and Procedure; 46 C.F.R. §502.5.

WHEREFORE, the Parties request, for the reasons set forth herein, that their settlement be approved and the Complaint in this Proceeding be dismissed with prejudice.

DATE: March 29, 2022

Respectfully submitted,

/s/ David K. Monroe

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CERTIFICATE OF SERVICE

I do hereby certify that I have delivered a true and correct copy of the foregoing document to the parties to this proceeding by depositing same in the United States mail, first class postage prepaid, and/or via email transmission, this 29th day of March, 2022.

/s/ David K. Monore

David K. Monroe